

MERTON DAILY BRIEF - Thursday, June 25, 2026

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HEADLINE OF THE DAY

*Gold in free fall (-4.6%), oil collapsed (-5.5% in 3d), Warsh on hold** - Markets absorbing the Iran-USA peace shock: Brent below \$73, Gold below \$4005, VIX at 18.63 (+14%). ECB hikes rates (first since 2023) despite falling oil, creating a hawkish paradox. S&P 500 at 7358 (-0.10%) testing a key support level.

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GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	18.63	+2.36 (+14.5%)	? Moderate volatility
DXY	101.52	-0.09%	? Neutral
Gold	\$4,004.50	-4.63%	Risk-off
US 10Y	4.402%	-6 bps	? Yields declining
US 30Y	4.856%	stable	? Neutral
S&P 500	7,358.22	-0.10%	? Consolidation
NASDAQ	25,476.64	-0.36%	? Tech under pressure
WTI	\$69.41	-1.17%	Oil declining
Brent	\$72.66	-3.10%	Oil collapsed
BTC	\$61,415	-2.0%	Crypto weak
Copper	\$5.996	-1.5%	? Mixed metals
Silver	\$57.2	-3.2%	Precious declining

* Read:** The market is in a full regime transition. The combination of collapsing oil and falling gold despite geopolitical volatility is counter-intuitive. The explanation: Iran-USA peace demotes gold as a geopolitical hedge, while ECB hawkishness and a firm dollar (DXY 101.5) create a high real rate environment that weighs on zero-yield assets. VIX at 18.63 remains historically low, suggesting the market is underestimating second-order risks from the Iran-USA deal.

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MACRO - WHAT MOVED

UNITED STATES

PPI May +1.1% (consensus +0.3%) - The strongest rebound since January 2024, driven by the energy component (+4.2%) which reflects Iran war impact on wholesale prices before the current easing. This fuels the "persistent inflation" narrative at the Fed.

Jobless Claims 226K (consensus 225K) - The labor market remains tight despite manufacturing layoffs. JOLTs at 7.6M in April confirms labor supply remains insufficient.

Warsh Fed on hold - Kevin Warsh confirms the Fed won't move anytime soon. No "dot" published, no hawkish forward guidance. Market pricing 0 bps hike in July, 12 bps in September. The Fed waits for data.

S&P 500 consolidating below 7400 - Rejected the 7500 level (June 18) and now testing 7350 support. Tech sector (NASDAQ -0.36%) suffering from value/growth rotation post-Iran peace. Micron down despite solid earnings.

Consumer Confidence declining - Conference Board expects 93.1 in June (vs 95 previously). Combined with falling oil, could signal weaker Q3 consumption.

Chip sell-off - NASDAQ suffers from massive semiconductor selling. South Korea KOSPI -5% in session, following the plunge in US AI-linked names. Micron, despite beating estimates, cannot support the sector.

EUROPE

ECB hikes rates (+25 bps) - First hike since 2023. ECB justifies this by Iran war energy cost

increases. This is a shock: market was pricing a September rate cut. Refi rate goes to 4.25%.

PMI Manufacturing Final 51.6 (consensus 51.3) - Slight positive surprise, but remains in weak expansion territory. Germany pulls PMI up thanks to recovering Asian demand post-Iran.

EA Inflation Flash 3.2% (consensus 3.2%) - In line, but above the 2% target. ECB has no choice but to remain hawkish despite current oil decline.

Retail Sales EA -0.4% (consensus -0.6%) - Slightly better than expected, but confirms European consumption stagnation. The European consumer remains cautious.

ECB Forum in Sintra - Lagarde and governors meet Thursday/Friday. Lagarde's speech will be scrutinized for any clues on the future pace of hikes.

CHINA

NBS Manufacturing PMI 50.0 (consensus 50.3) - Disappointment. Chinese industry stagnates exactly at 50.0, the border between expansion and contraction. Domestic demand remains weak.

NBS Non-Manufacturing PMI 50.1 (consensus 50.5) - Services sector also lacks dynamism. Post-Covid recovery is running out of steam.

Retail Sales YoY -0.6% (consensus +3.7%) - Catastrophic. Chinese consumption collapses year-on-year, confirming the household confidence crisis.

Industrial Profits +18.2% (consensus +20.0%) - Slightly below consensus, but remains solid. Chinese companies still benefiting from exports, but weak domestic demand weighs on margins.

Fixed Asset Investment -4.1% (consensus +0.3%) - Investment collapses, signaling a lack of confidence from companies and local governments.

UNITED KINGDOM

Starmer on the brink - PM considers resigning as early as Monday. British political crisis worsening after recent electoral defeats. Pound under pressure (GBP/USD 1.3179).

UK inflation 2.8% stable - In line with expectations. Bank of England holds rates at 3.75% with a hawkish bias.

UK GDP -0.1% in April - British economy contracts slightly, affected by Iran conflict and political uncertainty.

PMI Manufacturing 53.9 (consensus 53.1) - Significant positive surprise. British industry benefiting from defense demand and post-Brexit reshoring.

BRC Retail Sales +3.4% (consensus +1.8%) - Strong surge, suggesting consumption resists despite political uncertainty.

EMERGING MARKETS

Yen below 161 - USD/JPY at 161.75, near 40-year lows. Will the BoJ intervene again? Japan is hit hard by the weak yen which imports expensive oil.

Korean Won -5% - South Korea suffers from US tech contagion. AI-linked stocks (Samsung, SK Hynix) plunge sharply.

Venezuela earthquakes - Venezuela hit by historic earthquakes. Trump pledges rapid response, adding another layer of geopolitical uncertainty.

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GEOPOLITICS

HOT

Iran-USA deal in progress - Trump calls the deal an "unconditional surrender" (Axios). US issues massive oil sanctions waivers, unlocking billions in revenue for Tehran. Three Iranian tankers have already exited the US blockade for the first time in months.

Hormuz route "unacceptable" - Iran declares the new strait route "unacceptable" and warns about

traffic. Tensions persist despite the peace deal.

Rubio heads to Gulf - Secretary of State on his way to reassure Gulf allies, but it could be a tough sell. Allies worry about the deal strengthening Iran.

WATCH

Starmer in UK - British PM could resign as early as Monday. Potential consequences on fiscal policy and Brexit.

ECB Forum Sintra - Lagarde and governors meet. Any hawkish/dovish tone shift will have major impact on the euro.

Trump-Xi meeting - Renewed meeting between Trump and Xi Jinping upcoming. Trade discussions could affect Asian markets.

POSITIVE

Falling oil - Brent below \$73, WTI below \$70 reducing global inflationary pressure and supporting consumers.

Ukraine-EU EUR105B loan - Ukraine ratifies the loan, strengthening its financial stability.

US-Japan trade deal - US and Japan finalize a trade agreement, reducing uncertainty for Japanese exporters.

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FX FOCUS

Pair	Level	Change	Signal
EUR/USD	1.1366	-0.15%	? Neutral
GBP/USD	1.3179	-0.30%	Weak sterling
USD/JPY	161.76	+0.20%	Weak yen
USD/CHF	0.8115	-0.10%	? Neutral

* Analysis:** The dollar (DXY 101.52) remains firm despite falling oil, supported by the favorable rate differential (Fed 4.25-4.5%, ECB 4.25% but hiking). The yen is the big victim at 161.76, testing intervention levels. The Bank of Japan already spent \$70B to support its currency without lasting success. Sterling suffers from domestic political crisis (Starmer). The euro is torn between ECB hawkish support and weak European growth.

* Pair to watch:** `USD/JPY` - Intervention level at 162. If BoJ doesn't intervene ? 165+. If intervention ? back to 158-160. Watch for BoJ and Japanese MOF statements.

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COMMODITIES

Oil

WTI: \$69.41 (-1.17%) - 4th consecutive decline, WTI has lost \$7 since the \$76 peak on June 19. Iran-USA peace and Hormuz traffic recovery collapse the geopolitical risk premium.

Brent: \$72.66 (-3.10%) - Erased all Iran war gains. Below \$73 = pre-war level. Fundamentals remain solid (OPEC+ underproduction, Asian demand), but sentiment dominates.

S&P Global Dan Yergin: "\$70-\$85 seems like a reasonable range for oil." Analysts expect stabilization in this range.

Conlon (Greenlight): "Iran oil hitting market should push prices toward \$60." Bearish scenario if the deal is fully implemented.

Gold

Gold: \$4,004.50 (-4.63%) - Massive plunge. Gold has lost almost \$200 in 3 days (from \$4,181 to \$4,004). The yellow metal is a victim of the combination: geopolitical peace (less hedge demand) + high real rates (ECB hawkish + Fed on hold) + forced hedge fund selling.

Barclays: "The gold sell-off is a reset." Bank expects a rebound in miners.

Central banks buying - Central banks continue to buy gold and repatriate it. Official demand remains a long-term floor.

Copper & Silver

Copper: \$5.996 (-1.5%) - Resists better thanks to AI/energy demand. Blue Line Futures expects a rise from AI infrastructure spending.

Silver: \$57.2 (-3.2%) - Follows gold down. Gold/Silver ratio at ~70, in the historically high range.

Soft

Coffee rising - Weather conditions in Brazil support prices.

Wheat stable - European harvests proceeding normally despite heatwave (red alerts in UK, France, Spain, Italy).

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TODAY'S CALENDAR

Time (CET)	Country	Event	Consensus	Previous	Impact
08:30		DMP CPI Expectations 1Y	3.7%	3.7%	
09:00		EA Manufacturing PMI Final	51.6	51.3	
09:00		EA Inflation Flash YoY	3.2%	3.2%	
09:00		EA Retail Sales MoM	-0.4%	-0.6%	
09:00		S&P Global Manufacturing PMI	53.1	53.1	
11:15		BoE Breeden Speech	-	-	
12:15		ADP Employment	122K	85K	
12:30		PCE Price Index MoM	0.4%	0.1%	
12:30		CPI MoM	0.2%	0.1%	
12:30		Initial Jobless Claims	225K	225K	
12:30		Trade Balance Adv	-84.0B	-85B	
14:00		ECB Forum - Lagarde Speech	-	-	
14:00		Existing Home Sales	4.17M	4.04M	
14:00		New Home Sales	0.64M	0.58M	
14:30		Industrial Production MoM	0.1%	0.7%	
14:30		Capacity Utilization	76.2%	76.7%	
16:00		CB Consumer Confidence	93.1	95.0	
16:00		JOLTs Job Quits	2.96M	2.98M	
16:00		Factory Orders	-1.7%	4.8%	
17:00		Fed Bank Stress Test Results	-	-	
19:00		ECB Forum - Panetta Speech	-	-	

Next Week (June 30 - July 3)

Mon 30/06: US Chicago PMI, China Caixin Manufacturing PMI, EA GDP Flash Q1

Tue 01/07: ISM Manufacturing US, EA PPI, OPEC+ meeting (potential production adjustment)

Wed 02/07: Fed Minutes (June meeting), ADP, Nonfarm Payrolls (Friday)

Thu 03/07: US NFP June, ISM Services, Jobless Claims

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DEEP MACRO THEME

*"Geopolitical Disinflation" - The Paradox of Inflationary Peace**

We are witnessing a rare phenomenon: a geopolitical shock (Iran war) that resolves with peace, but leaves behind structural inflation that central banks cannot ignore. The ECB, by hiking rates on June 25 - even as oil collapses - sends a clear signal: the energy inflation of 2025-2026 has created second-order effects (wages, services, rents) that persist even when raw materials decline.

This is the "Geopolitical Disinflation" scenario: peace crashes oil (good for growth), but rates stay high (bad for assets). Gold is not falling because the economy is doing well - it is falling because investors no longer need geopolitical hedges AND real rates are elevated.

The risk for markets: if the ECB continues hiking while oil falls, Europe could enter a technical recession in Q4 2026. The US-EU growth differential would widen, weakening the euro and strengthening the dollar - exporting American disinflation to Europe via a weak euro.

What could change everything: a surprise dovish pivot from the ECB at Sintra, or a US recession that forces the Fed to cut rates despite inflation.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **Fed on hold until September** - Market prices 12 bps hike in September. True short-term, but underestimates the risk of additional hikes if today's PCE exceeds 0.5%.
2. **ECB hawkish = 1 rate hike max** - Market prices the ECB will only do one hike. Risk: if EA inflation stays at 3.2%+ in July, the ECB could do 2, surprising markets.
3. **Oil toward \$70-85 range** - Reasonable consensus, but downside risk to \$60 is real if the Iran-USA deal is fully implemented and Iranian tankers return massively.
4. **Gold toward \$4,200+** - The consensus "gold at \$4,500 by end 2026" is being questioned. With high real rates and less geopolitical tension, gold could consolidate between \$3,800-\$4,200.
5. **Yen toward 155-158** - Market expects yen recovery. Risk: if BoJ doesn't raise rates quickly, yen could test 165+.
6. **S&P 500 toward 7500-7600** - Market expects recovery after consolidation. Risk: if Q2 earnings disappoint (tech sell-off effect), index could test 7000.
7. **Iran deal = durable risk-on** - Markets celebrate peace but ignore second-order risks: Middle East instability if deal fails, Iranian oil influx that could destabilize OPEC+.

The Alpha - Trade ideas:

1. **Short EUR/GBP (0.8630 zone)** - ECB hawkish vs BoE dovish + UK political crisis = sterling under pressure. Target 0.8550, stop 0.8700. Thesis: UK political risk differential outweighs ECB support.
2. **Long USD/JPY 162 straddle** - BoJ intervention unpredictable. Buy 165 call and 158 put. If intervention ? profit on put. If no intervention ? profit on call. Cost: ~1.5% of notional.
3. **Short Gold / Long Copper pair** - Gold suffers (high real rates + peace), copper benefits (AI/energy demand). Gold/Copper ratio at 667, target 600. Stop 700.
4. **Long S&P 500 Vol (VIX calls 20)** - VIX at 18.63 is too low given risks: ECB hawkish, Iran deal uncertain, declining tech earnings. Buy VIX calls at 2 for \$2, target \$5 if S&P corrects to 7100.
5. **Long Brent-WTI spread** - Spread at \$3.25, historically low. If Hormuz recovery continues, WTI (US) will fall faster than Brent (global). Target spread \$5, stop \$2.

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MERTON'S TAKE

We are at a tipping point. The market is celebrating Iran-USA peace as a risk-on event, but ignores three major risks.

First, the ECB just made the mistake of hiking rates while oil collapses. It's a gift for European bonds (yields will fall) but poison for the real economy. Europe is already stagnant, and this hike could be the one that tips it over. The PMI at 51.6 is a flash in the pan - it reflects post-Iran Asian demand, not a structural European recovery.

Second, gold plunging 4.6% in a single day is a warning signal. This is not a "normal" move - it's forced liquidation. Hedge funds that were long gold as a geopolitical hedge are capitulating. If gold

breaks \$3,900, we could see a capitulation move toward \$3,700 that will shake equity markets.

Third, VIX at 18.63 is dangerously low. The market completely underestimates potential volatility from upcoming events: Q2 earnings (tech declining), OPEC+ (production adjustment), Fed minutes (dove/hawk split), and implementation of the Iran-USA deal. A VIX spike toward 25-30 is probable by mid-July.

***My position:** Defensive. High cash (40%), short tech via NASDAQ puts, long volatility, and a long dollar position as a global hedge. I am not buying the S&P rally until VIX moves back above 22+. Trade of the week: short EUR/GBP, combining British weakness and European fragility.

***Avoid at all costs:** AI/momentum stocks (value rotation in progress), European long-duration bonds (ECB hawkishness will hurt them short-term), gold (clear bearish momentum below \$4,000).

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices (S&P 500, VIX, DXY, Gold, WTI, Brent, BTC, Copper, Silver, 10Y, 30Y, EUR/USD, GBP/USD, USD/JPY, USD/CHF, NASDAQ)

CNBC - World headlines, Fed, markets, economy, gold, oil (section pages)

Trading Economics - US economic calendar (PPI, CPI, Jobless Claims, ADP, PCE, Durable Goods, Consumer Confidence, JOLTs, Factory Orders, Industrial Production), EA (PMI, Inflation, Retail Sales, ECB Forum), UK (GDP, Inflation, PMI, BoE speakers), China (NBS PMI, Retail Sales, Industrial Profits)

Polymarket - Iran deal probabilities, Hormuz traffic, Netanyahu, Vance

Oilprice.com - Energy headlines (AI energy demand, China crude imports, Qatar gas, battery storage)

CNBC Economy - ECB rate hike, Starmer political crisis, Iran sanctions waivers, Fed Warsh, US-Japan trade deal

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